Analysis of Amazon's bills payable and receivable for the year 2019-2023

By Sanjay J

PGDM section B

FTPGDM24104

Rajalakshmi School of Business

Section A – Introduction

Current Trends:

Over recent years, the E-commerce industries have witnessed rapid transformation driven by technological advancements, changing consumer behaviours, and the rise of digital-first business models. It is driven by a shift from in-person buying to online shopping. Looking ahead, these sectors are poised for continued growth, driven by trends such as the integration of artificial intelligence (AI) and machine learning (ML) into business processes and the expansion of cloud services into new markets.

Future Trends:

In the coming years, Amazon is expected to navigate a landscape marked by:

AI and Automation: Enhanced Artificial Intelligence, usage of robots and automation across supply chain management, customer service, and personalization.

Sustainability: A growing emphasis on sustainability, with Amazon investing in green technologies and sustainable practices to reduce its carbon footprint.

Global Expansion: Continued expansion into emerging markets, leveraging localized strategies to capture new customer bases.

Top 10 E-commerce companies in the world: Which are the largest ecommerce companies in the world?

1. **Amazon:**

Market Value: $867.58 billion

Headquarters: United States

Amazon, the retail giant, leads the pack with its impressive market value. Its revenue has consistently grown over the years, reaching $524.9 billion in the 12-month period ending in Q1 2023.

2. **Walmart:**

Market Value: $387.72 billion

Headquarters: United States

Walmart, a US-based company, ranks second on the list. While its market value is less than half of Amazon’s, it is still a significant player in the ecommerce industry.

3. **The Home Depot:**

Market Value: $324.85 billion

Headquarters: United States

The Home Depot, another American firm, secures the third spot. It is a major player in the home improvement retail sector and holds a significant market value.

4. **Alibaba:**

Market Value: $226.76 billion

Headquarters: China

Alibaba, a Chinese ecommerce giant founded by Jack Ma, holds the fourth position. It has experienced rapid growth and has tripled its net revenue from 2018 to 2022.

5. **Reliance Industries**:

Market Value: $206.31 billion

Headquarters: India

Reliance Industries, a conglomerate based in Mumbai, India, is the fifth-largest online retailer globally. It has made significant strides in the ecommerce sector, contributing to its substantial market value.

6. **Prosus:**

Market Value: $206.01 billion

Headquarters: Netherlands

Prosus, a Dutch company, ranks sixth on the list. It operates in various sectors, including ecommerce, and has established a strong market presence.

7. **Costco Wholesale Corporation**:

Market Value: $205.34 billion

Headquarters: United States

Costco Wholesale Corporation, a US-based company, secures the seventh position. It is known for its membership-based retail model and has achieved a considerable market value.

8. **Meituan Dianping:**

Market Value: $145.31 billion

Headquarters: China

Meituan Dianping, a Chinese firm, ranks eighth. It specializes in offering various services, including food delivery and hotel bookings, through its ecommerce platform.

9. Pinduoduo:

Market Value: $106.25 billion

Headquarters: China

Pinduoduo, another Chinese company, holds the ninth spot. It has gained popularity for its group-buying model and affordable products.

10. JD.com:

Market Value: $88.36 billion

Headquarters: China

JD.com, a Chinese ecommerce giant, wraps up the list. It is known for its logistics capabilities and wide range of products.

Amazon is consistently ranked among the top global companies across multiple sectors. In e-commerce, it dominates alongside Alibaba, Walmart, and eBay. In cloud computing, AWS leads the market, competing with Microsoft Azure and Google Cloud. Amazon's leadership in these sectors underscores its significant influence and innovative capacity.

Why Amazon?

Amazon was chosen for this analysis because it is the top most valued e-commerce company by global standards Its vast scale, diverse revenue streams, and continuous innovation make it a prime candidate for studying financial dynamics, particularly in managing working capital.

Section B - Company Profile

Founder: Jeff Bezos

Year Started: 1994

Main Product Details: Amazon’s core businesses include e-commerce (Amazon.com), cloud computing (AWS), digital streaming (Prime Video), and AI-driven devices (Alexa).

Market Capitalization: 1.89 trillion USD, as on 21.08.2024

Listing status: Listed under NASDAQ, under the symbol AMZN

Share price: 179.58 USD, as on 21.08.2024

Section C - Industry/Sector

Industry Sector: Amazon operates across multiple industry sectors, including:

E-commerce: Retail trade, specializing in online shopping.

Cloud Computing: Providing cloud infrastructure and services through AWS.

Digital Media: Streaming and content production via Prime Video and Amazon Studios.

Artificial Intelligence: AI-driven products like Alexa and other innovations.

Market Capitalization: Amazon doesn’t have separate companies for different sectors, therefore the capitalization is the same: 1.89 trillion USD, as on 21.08.2024.

Section D - SWOT Analysis

Strengths:

Global Reach: Amazon's vast global infrastructure enables it to serve millions of customers across diverse markets.

Diversified Revenue Streams: Multiple business lines—e-commerce, cloud computing, digital media—mitigate risks associated with reliance on a single revenue source.

Innovation Leader: Continuous innovation in AI, cloud services, and logistics keeps Amazon ahead of competitors.

Economies of Scale: Massive scale allows Amazon to operate efficiently, offering competitive pricing and better margins.

Weaknesses:

Regulatory Scrutiny: Increasing regulatory pressures in various markets pose legal and operational challenges.

Thin Retail Margins: The retail segment operates on thin margins, making it sensitive to cost pressures.

Dependence on AWS: A significant portion of Amazon's profits comes from AWS, making the company vulnerable to shifts in the cloud computing market.

Opportunities:

Expansion into Emerging Markets: Potential to capture market share in underpenetrated regions with growing internet access.

Healthcare and Fintech Ventures: Opportunities in new sectors like healthcare and financial technology.

Sustainability Initiatives: Leading in sustainable practices could enhance brand value and meet growing consumer demand for eco-friendly practices.

Threats:

Intense Competition: Rivalry from other tech giants like Google, Microsoft, and Alibaba across various sectors.

Economic Downturns: Global economic challenges could impact consumer spending and cloud service demand.

Supply Chain Disruptions: Dependency on a vast, complex supply chain that could be affected by geopolitical tensions or pandemics.

Section E - Problem Statement

This study aims to critically evaluate the company's management of bills payable and receivable, along with related accounts such as bad debts, cash, and provisions for bad debts. The goal is to understand how these financial aspects impact Amazon's overall performance.

Section F – Objective

To conduct a thorough analysis of Amazon's financial statements, focusing on accounts receivable, accounts payable, and associated accounts. This study seeks to derive insights into the effectiveness of Amazon's efficiency and collecting and paying bills.

Section G – Methodology

Data Source: Secondary data – Financial statements from Amazon

Source: Balance sheet: AMZN | Amazon.com Inc. Annual Balance Sheet - WSJ

Income statement: AMZN | Amazon.com Inc. Annual Income Statement - WSJ

Data Analysis Tools: I will utilize Excel for extracting and analysing relevant financial data.

Focus: Analyse trends in bills payable, receivable, related accounts, and their effect on cash flow over the years 2019-2023.

Data analysis:

Cash & Short-Term Investments

2023: $87,283 million
2022: $70,391 million
2021: $96,309 million
2020: $84,653 million
2019: $55,342 million

Total Accounts Receivable/Bills receivable:

2023: $51,750 million
2022: $41,995 million
2021: $32,631 million
2020: $24,285 million
2019: $20,495 million

Accounts Receivable Turnover

43:11.1
42:12.2
41:14.4
40:15.9
39:13.7

Accounts Payable/Bills payable:

2023: $84,981 million
2022: $79,600 million
2021: $78,664 million
2020: $72,539 million
2019: $47,183 million

Bad debts

2023: $1,700 million
2022: $1,400million
2021: $1,100 million

2020: $1,100 million
2019: $718 million

Sales

2023: 5,74,785
2022: 5,13,983
2021: 4,69,822
2020: 3,86,064
2019: 2,80,522

COGS

2023: 3,04,739
2022: 2,88,831
2021: 2,72,344
2020: 2,33,307
2019: 1,65,536

Equity

2023: 2,01,875
2022: 1,46,043
2021: 1,38,245
2020: 93,404
2019: 62,060

Section H – Inference, insights and recommendations

Inference:

The sales have increased 2.05 times from 2019 to 2023. The bills receivable has increased 2.53 times from 2019 to 2023. The COGS have increased 1.04 times from 2019 to 2023. The bills payable has increased 1.84 times from 2019 to 2023. The bad debts have increased 2.37 times from 2019 to 2023. The cash reserves have increased 1.58 times from 2019 to 2023. The equity has increased 3.25 times from 2019 to 2023.

Insights:

We see that bills receivable has increased more compared to sales (2.53>2.05) but the cash reserves have also increased. So, it may be the case that Amazon is performing more cash transactions, it may also be the case that Amazon is providing more credit transactions. The bills payable has increased much more than COGS (1.84>1.04) so Amazon is performing more credit purchases. The bad debts have increases significantly (2.37 times), so we can state that lots of bills receivables have not been recovered.

Recommendations:

Improve Collections: Since the bad debts have increased a lot, it is recommended to perform more cash sales as opposed to credit sales, and/or changing the bills receivable policy in a way that facilitates proper and timely payment.

Balance Payables: It is also recommended to optimize the bills payable account to maximize supplier relationships.